2020–21. Finally, the government realized only around Rs 38,000 during the year, inclusive of sales of evacuee property shares and the Specified Undertaking of Unit Trust of India (SUUTI) shares sale.

The year 2020–21 proved to be a washout for privatization and disinvestment of public-sector enterprises and banks.

Minority Stake Sale Strategy Policy Has Not Worked

Assuming that about two-thirds of the share capital of the seventy-four listed CPSEs is held by the Government of India, the value of the shares attributable to it is about Rs 9 lakh crore. At 80 per cent of shares held by the government, the value attributable goes up to a little less than Rs 11 lakh crore.

The first major realization that needs to be accepted while designing a divestment strategy is that there is not much juice left to be extracted if the government were to retain a 50 per cent shareholding—this would bring the value of its shareholding to Rs 6.82 lakh crore. If the total value of government shares is about Rs 9 lakh crore, only about Rs 2 lakh crore can be realized at best even if all government stake beyond 50 per cent in the seventy-four companies is sold.

The actual situation is much worse. Government shareholding in ONGC, the company with the largest market capitalization of about Rs 92,000 crore, is only 60.41 per cent. In PowerGrid Corporation, which comes in second with market capitalization of Rs 90,000 crore, government shareholding is only 51.34 per cent. In NTPC, too, it is only about 51 per cent. In SBI, with market capitalization of Rs 1.74 lakh crore, government stake is only 57.64 per cent. It is in the dud stocks with low market capitalization where the government's share is large, in many cases exceeding 90 per cent.

These shareholding patterns starkly reveal that the government is not left with much shareholding above 50 per cent in the most capitalized